S3 E0

BK

Season 3

AI strategy.

Where AI earns its place, and choices that outlast the next model release.

Brendan Kelly

Applied AI

“We need an AI assistant on the website by spring.”

The CEO of Halvard Home, at the October leadership meeting.

Halvard Home is an invented company.

Your turn

You are asked to deliver this. What do you ask first?

Pick one before you turn the page.

OPTION A

Which model should we use?

OPTION B

What will it cost?

OPTION C

Who owns the result?

The answer

She asked a different question first

Halvard’s head of customer operations has to come back with a plan. Before anything else, she asked:

> **Of everything we could use AI for, what should we do first, and how would we know it worked?**

Why first	A, B and C all assume the assistant is the right project. Hers checks that.
A, B and C	Still good questions. This season reaches model choice and ownership. Cost gets its own season, S6.

Why it matters

From how it works to what to do with it

The first two seasons were about how the technology behaves. This one is about the decisions that follow.

Season 1
How language models work

→

Season 2
How to build and measure a retrieval system

→

Season 3
What to use it for, and what to do first

> **The first leadership season**
> You do not need to read code. Most episodes teach one decision, then apply it to one running case. You do not need Seasons 1 and 2 either: each episode recaps what it uses.

This season

Six questions this season answers

1. Which of our ideas are real use cases, and which are a technology looking for a job?
2. Which tasks suit a language model, and which do not?
3. How much can we trust it, and how much autonomy should it have?
4. What do we build, what do we buy and what do we rent?
5. What survives the next model release?
6. Which one goes first, and when do we stop it?

The case

Meet Halvard Home, an invented appliance maker

The firm whose support library Season 2 built. Every figure below is invented, except the library counts, which come from that library.

10
home appliances, from a kettle to a heat pump

45,000
customer contacts a month (invented)

140
support agents, plus a safety team of 6 and a content team of 4 (invented)

3,200
warranty claims and 2,100 returns a month (invented)

Its exposure	Consumer protection, product safety and data protection law. Nothing in this season is legal advice.

Your turn

Eight ideas. Which would you start with?

The CEO’s ask is C1. Choose yours before you turn the page.

C1
Website assistant

C2
Reply drafts for agents

C3
Warranty claim triage

C4
Safety signal screening

C5
Automatic refund approval

C6
Library consistency check

C7
Call and chat summaries

C8
Spare parts demand forecast

The answer

A written rule will choose the first idea

Keep your pick in mind. Every idea goes through the same three steps.

1 **Two yes-or-no checks**

Does it have a clear outcome, a metric and an owner? Is a language model the right tool? An idea that fails cannot go first.

↓

2 **Six scores, each from 1 to 5**

- Value
- Task fit
- Error tolerance
- Data readiness
- Durable advantage
- Time to evidence

↓

3 **The highest total goes first**

Then we test whether it still wins if some scores count for more than others.

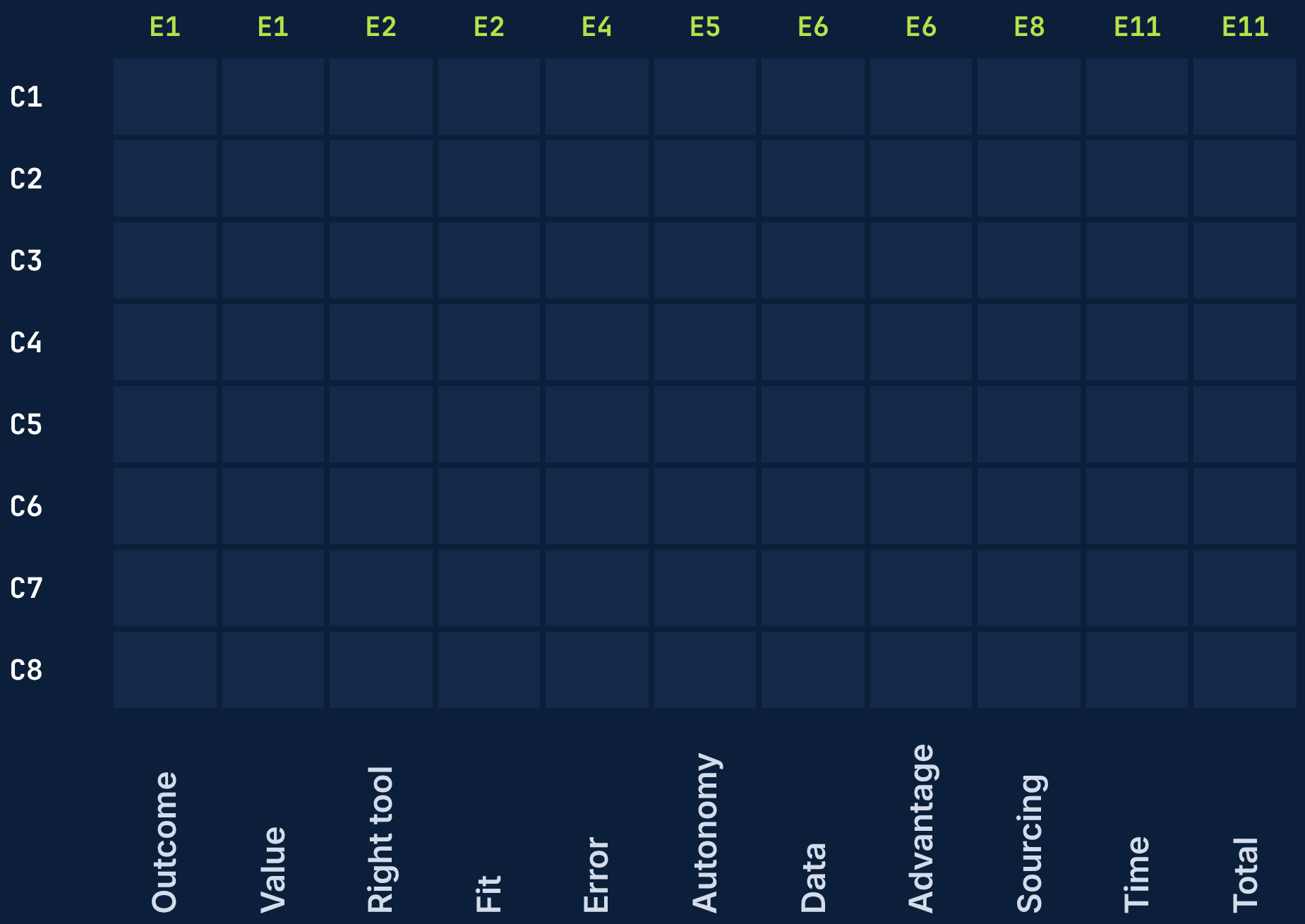
Why write it down first

The rule was fixed before any idea was scored, so nobody can bend it towards a favourite. The result comes in E11.

How to read it

How to read the season: one decision, one column

The scorecard starts empty. Each teaching episode teaches a decision and fills in its column for all eight ideas.



Autonomy and Sourcing are choices we record for each idea, not scores. Every teaching episode opens with the scorecard so far, so it still works on its own if it was shared with you.

This season

The season runs in four acts

Each act settles what the next one depends on.

ACT 1

Choose the work

E1 to E3

Is it a real use case, and does it suit a language model?

ACT 2

Set the trust

E4 to E5

What does an error cost, and how much autonomy follows?

ACT 3

Decide what to own

E6 to E9

Where does advantage last, and what do you rent?

ACT 4

Commit

E10 to E11

One page for the board, and one first move with a stop condition.

And then

E12 collects every decision rule on one card you can keep.

Read it when

Which episode to read, and when: E1 to E5

Each line says the moment that episode is for.

CHOOSE THE WORK

E1 **Start with the problem, not the model**
You are about to approve an AI project no one can describe without the word AI

E2 **Which tasks suit an LLM**
You must decide whether a proposal needs a language model at all

E3 **Does the leaderboard predict your task?** Field note
You are about to pick a model because it tops a public ranking

SET THE TRUST

E4 **The cost of being wrong**
You are about to let AI answer customers, or touch anything regulated

E5 **Assist, automate, or act**
You must decide how much autonomy AI gets

Read it when

Which episode to read, and when: E6 to E12

DECIDE WHAT TO OWN

E6 Your data is the strategy
You must decide where to invest so it outlasts the next model

E7 Better data or a bigger model? Field note
You are about to pay for a bigger model to fix quality

E8 Build, buy, or managed
You must choose how to source the application and the model

E9 Does it survive a model change? Field note
You are about to commit to one model or one provider

COMMIT, AND KEEP

E10 The one-page AI strategy
You must put a strategy in front of the board

E11 Which use case goes first?
You must choose the first project and write down when to stop it

E12 Season 3 recap: the strategy card
You want the whole season on one card

Field notes

Three questions are measured, not argued

Field notes are real experiments on the Season 2 support system, with open code and the pass marks written down first.

E3

Does the leaderboard predict your task?

Public rankings compared with results on Halvard's own questions.

E7

Better data or a bigger model?

Improving the system compared with paying for a larger model.

E9

Does it survive a model change?

The same questions, with only the model swapped, compared answer by answer.

Three tools you keep after the season

Each works on your own use cases, not only on Halvard's.

TOOL 1

Scorecard template

Score your use cases, and check your first pick holds under different weights.

TOOL 2

One-page strategy template

Nine sections for the board, from the outcomes to what you will not do.

TOOL 3

Strategy card

Every decision rule and "Ask your team" question, on one page, in E12.

SCORE YOUR OWN, WITH NO API KEY AND NO MODEL CALLS

```
$ uv run lab strategy score scorecard.csv
```

Links to all three are on the Season 3 page of the episode guide.

What this season leaves to later seasons

This season decides what to do. Four leadership questions get their own seasons.

S6 **Economics**	The money: full costs, and when hosting it yourself pays.
S9 **AI teams**	The people, and how the work is organised.
S12 **Delivery**	Rolling it out, and getting it adopted.
S15 **Governance**	Policy and controls.

Ask your team

If our CEO asked for an AI assistant by spring, what would we ask first?

Decision rule

Before you ask what AI can do, ask what you want to be different. Choose use cases by a rule fixed in advance, and put a stop condition on the first one.

Next: E1, Start with the problem, not the model

Eight ideas, one test: can you state the outcome without the word AI?

Where this fits

The series map

S1 LLMs	**S2** Retrieval	**S3** Strategy
S4 Adapting	**S5** Agents	**S6** Economics
S7 Data	**S8** Evaluation	**S9** AI teams
S10 Reliability	**S11** Security	**S12** Delivery
S13 Performance	**S14** Resilience	**S15** Governance

☐ Leadership season

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Episode guide brendankellyai.github.io

Code github.com/BrendanKellyAI/applied-ai-lab